

rapidly growing businesses, and growth can be found in what appear to be more traditional value investments.

PHILOSOPHY

Rather than relying on labels, investors need to have their own philosophical paradigm to help frame opportunities and make more productive the quotidian work that occurs day-to-day. Otherwise, as to paraphrase Lewis Carroll's Cheshire Cat in *Alice's Adventures in Wonderland*, "If you don't know where you are going, any road will get you there." I call myself a value investor, but that label does not offer a clear-cut definition. The growth investor presumably believes the companies they own are a "value" as much as a value investor does. My approach is to commit capital to an opportunity when the risk of losing money is limited, while at the same time, there is asymmetric upside potential. I am philosophically aligned with those investors genetically predisposed to not losing money. The whole point of having a margin of safety is that even if everything doesn't go according to plan, investors may still come out close to whole.

My firm's approach is to seek out good quality businesses at a reasonable price. We assess quality in terms of such attributes as a business's return on capital, the defensibility of its market position, its pricing power, the caliber of management, and its growth potential. Holding a concentrated portfolio of shares in good, growing businesses for longer periods is likely to be more beneficial than holding superficially "cheap" securities in inferior businesses and trading them frequently. Indeed, a benefit of owning a high-quality business with favorable growth prospects is that the shares can be held for many years and the business does the work of compounding investors' capital. For taxable investors, this approach is a particularly tax-efficient one.

Investors are best off when they can maintain a longer-term time horizon. I consider time horizons of five to seven years to be a typical market cycle. This can help investors avoid the poor trading decisions